

China Renewables

SNEC takeaways: ESS strong, solar weak

Equities Electrical Equipment

China

- ◆ There was a strong business feeling among China's energy storage system (ESS) suppliers, especially residential ESS...
- ◆ ...while the adoption of space perovskite cells and solid-state transformers could be below market expectations
- ◆ We prefer Deye and Hongfa, both rated Buy

On 3-4 June 2026, during the SNEC (Photovoltaic Power Conference & Exhibition) in Shanghai, we visited the booths of Sungrow (300274 CH), Deye (605117 CH), Sieyuan (002028 CH), Longi (601012 CH), First Applied Material (603806 CH), Eve Energy (300014 CH), S.C New Energy Technology (300724 CH), Laplace Renewable Energy Tech (688726 CH), and Shanghai Geoharbour (605598 CH), and talked to their respective sales and management teams. Here are the key takeaways:

Space solar: We saw various space-level perovskite cell products from different companies during SNEC. However, we believe adoption in space could be difficult and slow given concerns over reliability and the time needed to gather enough data from space to perfect the product. As a result, we believe the adoption of perovskite cells here on Earth will be quicker. Compared with silicon-based solar cells, perovskite cells are lighter and can generate 10-18% more power in weak-light environments. These features make them ideal for applications such as building integrated PVs (BIPVs), power for smart door locks, and portable electronic devices.

Ground solar: We see a weak demand outlook for the solar supply chain in 2026 as China has switched from a feed-in tariff system to a market-oriented pricing system in June 2025. Competition in solar modules is likely to become more intense with new players entering the sector – non-traditional players such as BOE and Sungrow showcased their module products during SNEC.

Utility-scale ESS: We believe Chinese utility-scale ESS suppliers like Sungrow are likely to be negatively affected by the EU funding ban on projects using Chinese inverters. On 22 April 2026, the EU commission banned EU funds from supporting renewable projects using inverters from China. We believe that the ban could have more of an impact on utility-scale projects than commercial & industrial (C&I) projects. We estimate that c20% of the utility-scale photovoltaics (PVs) and ESS market in Europe could be impacted vs c5% for the C&I market.

Residential ESS: China's export of lithium batteries to top 10 markets surged 29% y-o-y in 4M26 ([Exhibit 1](#)). We believe this is partly due to strong demand from overseas residential ESS. Lithium battery exports to Australia grew 1.9x in 4M26, on the back of the Cheaper Battery Program that subsidises residential ESS. While Australia's Cheaper Battery Program began phasing out from 1 May 2026, the UK's Warm Home Plan, with a funding size of GBP15bn for roof-top solar/ESS/heat pumps, is due to come into effect in late 2026. Excluding China/EU/US, global solar plus wind penetration is starting to approach double digits. This is likely to lead to grid bottlenecks for most countries as they look to integrate additional solar and wind power into their energy programs. To overcome this difficulty, we expect the global policy to switch its priority focus to promoting ESS deployment rather than promoting solar development ([China Energy Storage: Residential ESS ready to shine](#), 29 April 2026). We believe this is likely to benefit Deye, as it had a market share of c24% in the residential ESS inverter market globally in 2024.

Solid-state-transformer (SST): We saw many developers showcasing their SST prototypes (e.g. Weiguang Energy and Eaglerise) during SNEC. However, as with all grid equipment, the application of SST is likely to be gradual given concerns over grid stability and safety issues. We believe the application of 800V high-voltage-direct-current (HVDC) could be faster as it is a relatively mature technology, and requires limited changes to the existing data center power supply infrastructure. We believe this should benefit Hongfa as it has a market share of c40% in the global HVDC relay market. See Valuation and Risks on [page 4](#).

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This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

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Exhibit 1. Excluding US, China's export of LIB grew for key destinations y-t-d

China LIB battery Export Value (USDm)	4M25	4M26	y-o-y
US	4,265	2,828	-34%
Germany	4,213	4,666	11%
France	428	738	73%
Netherlands	941	2,336	148%
UK	610	752	23%
Japan	709	1,461	106%
South Korea	1,013	1,317	30%
Vietnam	1,199	1,795	50%
India	985	1,726	75%
Australia	566	1,638	189%
Top 10 countries	14,928	19,259	29%

Source: General Administration of Customs of the People's Republic of China, HSBC Qianhai securities

Exhibit 2. Key BTM ESS markets: Which policy stages they are at now?

Countries	Solar + Wind penetration (2024)	% of solar with ESS	Electricity price (USD/kWh, 2026)	Major solar and ESS policy	Policy stage
Australia	30%	<10%	0.34	Transiting from net metering to net billing; VPP	Stage 2 & 3
Ukraine	10%	40%	0.08	Net billing starting from 2026	Stage 2
Brazil	25%	<10%	0.16	Rising charging on energy exports to grid from new distributed solar project	Stage 2
Pakistan	17%	20-25%	0.07	Net billing starting from Feb 2026	Stage 2
India	12%	<10%	0.08	Differs across states	Stage 1
Vietnam	12%	<10%	0.08	Feed-in tariff ended in 2020	Stage 1 & 2
Poland	26%	20%	0.23	Net billing starting from 2022	Stage 2
Thailand	5%	10-15%	0.13	Net billing	Stage 1 & 2
Hungary	26%	20-25%	0.11	Net metering ended for new user in 2024, now gross settlement	Stage 2
Turkey	18%	<5%	0.07	Net metering with a cap	Stage 1 & 2
Egypt	5%	15-20%	0.02	Net metering	Stage 1
Malaysia	2%	<5%	0.05	Net metering phasing out in 2026	Stage 1
Chile	33%	<5%	0.21	Net billing	Stage 2
Netherlands	45%	<10%	0.29	Shifting from net metering to net billing starting Jan 2027	Stage 2
Germany	46%	55-60%	0.4	Feed-in tariff phasing out starting from 2027; VPP	Stage 3
Italy	22%	50-60%	0.42	Net metering phasing out; VPP	Stage 2 & 3
South Africa	12%	75-85%	0.19	Net billing	Stage 2
Japan	13%	30-35%	0.23	Feed-in tariff phasing out	Stage 2 & 3
UK	35%	15-20%	0.4	Net billing and VPP	Stage 2 & 3
Spain	44%	10-15%	0.25	Net billing	Stage 2 & 3
France	16%	30-35%	0.28	Net billing	Stage 2 & 3
Mexico	12%	<10%	0.11	Net metering	Stage 1
Argentina	14%	15-20%	0.08	Net metering	Stage 2
Oman	5%	<5%	0.03	Net metering	Stage 1
Saudi Arabia	3%	<5%	0.05	Net billing	Stage 2
UAE	7%	<5%	0.08	Net metering	Stage 1

Note: ESS penetration is calculated by ESS / PV installation base; Pink shaded countries indicates high ESS installation potentials.
Source: PV Infolink, Wind, Our World in Data, HSBC Qianhai Securities

Key takeaways

Deye Technology (605117 CH, RMB102.17, Buy)

Deye is the world's largest manufacturer of residential energy storage system inverters according to Frost & Sullivan, and is also a maker of residential storage battery packs and household devices. During SNEC, the company launched its sixth-generation residential energy storage inverter based on silicon carbide (SiC) materials. It also showcased a 125kW energy storage inverter for the first time in China, along with a larger-capacity containerized energy storage solution up to 4.3MWh for industrial and commercial applications.

Eve Energy (300014 CH, RMB54.33, Buy)

Eve is a top 3 ESS battery supplier globally, with a market share of 12% in 2025 (as per Infolink). We see opportunities for market share gains given its aggressive capacity expansion plans. The company plans to add c260GWh of LFP battery capacity in Guangdong, Hubei, Jiangsu, Fujian, and Zhejiang Provinces, according to its 2025 annual report. During SNEC, the company unveiled its Mr. Big Family products (larger-capacity containerized energy storage solution) based on its latest 628Ah/648Ah/702Ah batteries. It also showcased its sodium-ion battery products.

Sungrow Power Supply (300274 CH, RMB146.80, Buy)

Sungrow is the second largest ESS integrator globally with a market share of 14% in 2025 in terms of shipment volume, as per its 2025 annual report. During SNEC, Sungrow's subsidiary, Sungrow Renewables Development, showcased its 5S smart photovoltaic module product. It also unveiled power station products and iSolar software, which enables better monitoring and management.

Valuation and risks

Valuation		Risks
Deye Technology 605117 CH Buy	Current price: RMB102.17 Target price: RMB187.86 Upside: +84%	Our target price of RMB187.86 (unchanged) is derived from our discounted cash flow (DCF) model. Key assumptions in our model (all unchanged) include a WACC is 8.0%, derived from a COE of 9.0%, an after-tax cost of debt of 4.3%, and a debt-to-capital ratio of 21%. We have a 2025-37e operating cash flow (before changes in working capital) CAGR assumption of 15%. We expect capex of RMB653m, RMB653m, and RMB653m per annum in 2026-28, respectively, reflecting planned capacity expansion. Thereafter, we assume steady capex of RMB400-591m per annum in 2029-37e, reflecting steady investment in maintenance. The terminal growth rate is 2.5%, and we assume the company will reach a steady growth period after 2037 (unchanged). Our target price implies c84% upside from current levels; accordingly, we maintain our Buy rating on the stock. Key downside risks 1. Unfavourable residential ESS policies. 2. Weaker-than-expected solar demand. 3. Rise in raw material costs. 4. Intense competition.
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Sungrow Power Supply 300274 CH Buy	Current price: RMB146.80 Target price: RMB210.00 Upside: +43%	Our target price of RMB210.00 (unchanged) is derived from our discounted cash flow (DCF) model. Key assumptions in our model include a WACC is 8.5% (unchanged), derived from a COE of 9.1% (unchanged), an after-tax cost of debt of 4.3% (unchanged), and a debt-to-capital ratio of 11% (unchanged). We have a 2024-37e operating cash flow (before changes in working capital) CAGR assumption of 8% (unchanged). We expect capex of RMB1.6bn, RMB1.2bn, and RMB1.3bn per annum in 2026-28e (unchanged), respectively, reflecting planned capacity expansion. Thereafter, we assume steady capex of RMB1,359-2,007m per annum in 2029-37e (unchanged), reflecting steady investment in maintenance. The terminal growth rate is 2.5% (unchanged), and we assume the company will reach a steady growth period after 2037 (unchanged). Our target price implies c43% upside from current levels; accordingly, we maintain our Buy rating on the stock. Key downside risks 1. Lower-than-expected global solar demand. 2. Lower-than-expected global ESS demand. 3. More intense-than-expected competition among ESS integrators. 4. Higher-than-expected operating expenses due to the expansion of its sales networks. 5. Further tariff hikes by the US on ESS products imported from China.
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Eve Energy 300014 CH Buy	Current price: RMB54.33 Target price: RMB109.00 Upside: +101%	Our target price of RMB109.00 (unchanged) is derived from our discounted cash flow (DCF) model. Key assumptions in our model include a COE of 10.0% (unchanged), derived from a risk-free rate of 4.25% (unchanged), a market risk premium of 4.75% (unchanged), and a beta of 1.22 (unchanged). We expect a 2023-37e operating cash flow (before changes in working capital) CAGR of 9% (unchanged). Capital expenditure (capex): we expect capex of RMB5.0bn (unchanged) in 2026e, RMB6.6bn in 2027e (unchanged), and RMB6.7bn (unchanged) in 2028e. Thereafter, we expect capex to be stable at around RMB2.3-3.1bn over 2029-2037e (unchanged), reflecting steady investment in maintenance. Terminal growth rate is 2.5% (unchanged). Our target price implies c101% upside from current levels; accordingly, we maintain our Buy rating on the stock. Key downside risks: 1. Intense competition, leading to lower-than-expected margins. 2. Weaker-than-expected primary lithium battery demand. 3. Equity dilution from potential fundraising. 4. Weaker-than-expected power battery sales. 5. Selling pressure from large shareholders. 6. Further tariff hikes by the US on ESS products imported from China.
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Sieyuan Electric 002028 CH Buy	Current price: RMB177.59 Target price: RMB266.60 Upside: +50%	We base our TP of RMB266.60 on a DCF model (unchanged). Key assumptions to the model include a COE of 9.2% (unchanged), derived from a risk-free rate of 4.25% (unchanged), a market risk premium of 4.75% (unchanged), and a beta of 1.05 (unchanged), a 2025-38e operating cash flow CAGR of 18.5%, and a terminal growth rate of 2% (all unchanged). The target price implies c50% upside from current levels. Hence, we maintain our Buy rating on the stock. Key downside risks: 1. Weaker-than-expected power distribution network investment. 2. Stronger-than-expected raw material cost inflation. 3. Weaker-than-expected UHV investment. 4. Weaker-than-expected renewable investment. 5. Uncertainty in conducting overseas business. 6. Smaller-than-expected supply shortages.
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Valuation		Risks
First Applied Material 603806 CH	Current price: RMB16.01	Key upside risks 1. Stronger-than-expected penetration of OBB technology that leads to higher EVA usage per watt. 2. Stronger-than-expected solar demand. 3. Progress in space solar and in electronic materials. 4. Capacity clearing by competitors.
	Target price: RMB19.20	
Hold	Upside: +19.9%	Key downside risks: 1. Weaker-than-expected penetration of OBB technology that leads to lower EVA usage per watt. 2. Weaker-than-expected solar demand. 3. An unsuccessful foray into the electronic materials industry. 4. Resumption of capacity expansion by competitors.
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Note: Priced as of 8 June 2026. * Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/ qualified pursuant to FINRA regulations.
 Source: Bloomberg, HSBC Qianhai Securities estimates

Disclosure appendix

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Important disclosures

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From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 31 March 2026, the distribution of all independent ratings published by HSBC is as follows:

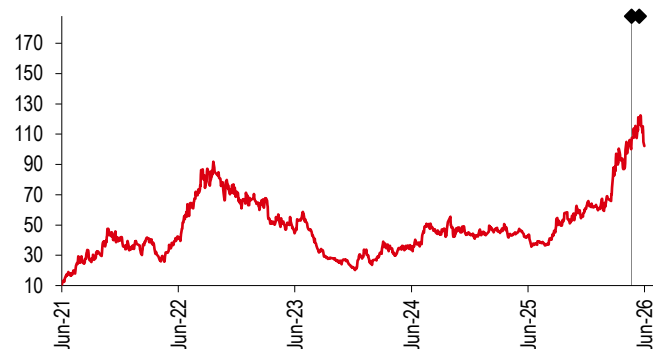
Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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Share price and rating changes for long-term investment opportunities

Deye Technology (605117.SS) share price performance CNY Vs HSBC rating history



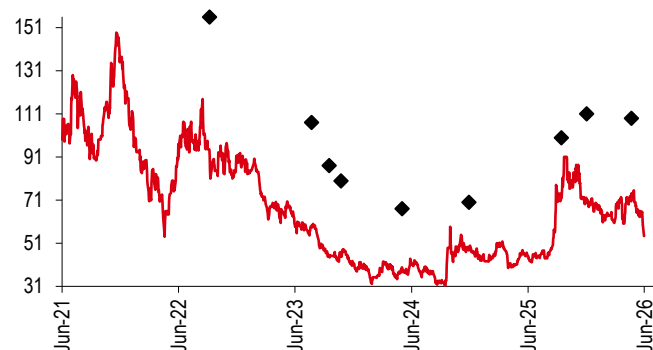
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	29 Apr 2026	Corey Chan
Target price	Value	Date	Analyst
Price 1	187.86	29 Apr 2026	Corey Chan
Price 2	187.86	23 May 2026	Corey Chan

Source: HSBC

Eve Energy (300014.SZ) share price performance CNY Vs HSBC rating history

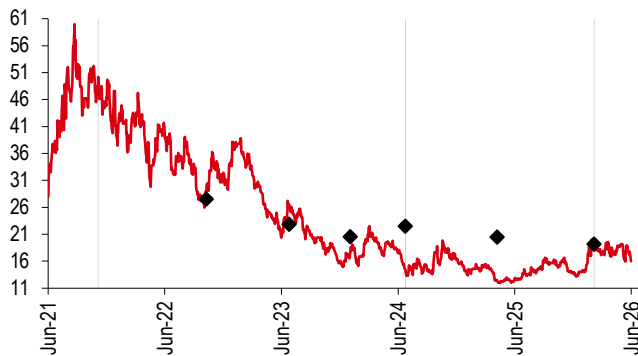


Source: HSBC

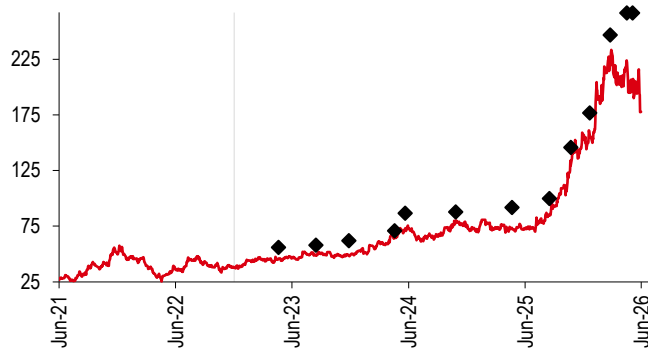
Rating & target price history

From	To	Date	Analyst
Hold	Buy	05 Mar 2021	Corey Chan
Target price	Value	Date	Analyst
Price 1	156.00	14 Sep 2022	Corey Chan
Price 2	107.00	31 Jul 2023	Corey Chan
Price 3	87.00	25 Sep 2023	Corey Chan
Price 4	80.00	01 Nov 2023	Corey Chan
Price 5	67.00	10 May 2024	Corey Chan
Price 6	70.00	06 Dec 2024	Corey Chan
Price 7	100.00	22 Sep 2025	Corey Chan
Price 8	111.00	10 Dec 2025	Corey Chan
Price 9	109.00	29 Apr 2026	Corey Chan

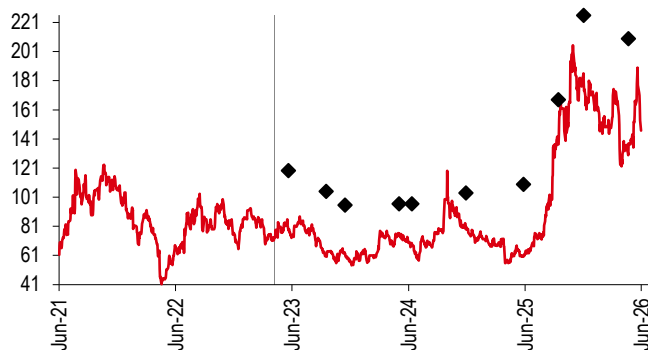
Source: HSBC

First Applied Material (603806.SS) share price performance CNY Vs HSBC rating history


Source: HSBC

Sieyuan Electric (002028.SZ) share price performance CNY Vs HSBC rating history


Source: HSBC

Sungrow Power Supply Co (300274.SZ) share price performance CNY Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
Buy	Hold	11 Nov 2021	Corey Chan
Hold	Buy	01 Jul 2024	Corey Chan
Buy	Hold	12 Feb 2026	Corey Chan
Target price	Value	Date	Analyst
Price 1	27.55	17 Oct 2022	Corey Chan
Price 2	22.86	03 Jul 2023	Corey Chan
Price 3	20.57	11 Jan 2024	Corey Chan
Price 4	22.50	01 Jul 2024	Corey Chan
Price 5	20.50	15 Apr 2025	Corey Chan
Price 6	19.20	12 Feb 2026	Corey Chan

Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Dec 2022	Dun Wang, CFA, CPA
Target price	Value	Date	Analyst
Price 1	56.00	28 Apr 2023	Dun Wang, CFA, CPA
Price 2	58.00	23 Aug 2023	Dun Wang, CFA, CPA
Price 3	62.00	05 Dec 2023	Dun Wang, CFA, CPA
Price 4	71.00	26 Apr 2024	Dun Wang, CFA, CPA
Price 5	86.60	29 May 2024	Dun Wang, CFA, CPA
Price 6	88.00	04 Nov 2024	Dun Wang, CFA, CPA
Price 7	91.80	29 Apr 2025	Dun Wang, CFA, CPA
Price 8	99.80	25 Aug 2025	Dun Wang, CFA, CPA
Price 9	145.80	31 Oct 2025	Dun Wang, CFA, CPA
Price 10	176.80	29 Dec 2025	Dun Wang, CFA, CPA
Price 11	246.80	03 Mar 2026	Dun Wang, CFA, CPA
Price 12	266.80	24 Apr 2026	Dun Wang, CFA, CPA
Price 13	266.60	12 May 2026	Dun Wang, CFA, CPA

Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	13 Apr 2023	Corey Chan
Target price	Value	Date	Analyst
Price 1	119.29	29 May 2023	Corey Chan
Price 2	105.00	25 Sep 2023	Corey Chan
Price 3	95.71	23 Nov 2023	Corey Chan
Price 4	96.43	10 May 2024	Corey Chan
Price 5	96.43	19 Jun 2024	Corey Chan
Price 6	104.00	06 Dec 2024	Corey Chan
Price 7	110.00	04 Jun 2025	Corey Chan
Price 8	168.00	22 Sep 2025	Corey Chan
Price 9	226.00	10 Dec 2025	Corey Chan
Price 10	210.00	29 Apr 2026	Corey Chan

Source: HSBC

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HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
DEYE TECHNOLOGY	605117.SS	102.17	08 Jun 2026	–
EVE ENERGY	300014.SZ	54.33	08 Jun 2026	7
FIRST APPLIED MATERIAL	603806.SS	16.01	08 Jun 2026	7
SIEYUAN ELECTRIC	002028.SZ	177.59	08 Jun 2026	7
SUNGROW POWER SUPPLY CO LTD	300274.SZ	146.80	08 Jun 2026	7

Source: HSBC

- 1 HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
- 2 HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.
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- 7 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.
- 8 A covering analyst/s has received compensation from this company in the past 12 months.
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- 10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
- 11 At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.
- 12 As of 03 June 2026, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
- 13 As of 03 June 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
- 14 HSBC Qianhai Securities Limited holds 1% or more of a class of common equity securities of this company.

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